In September 2000, the Government of India (Ministry of External Affairs) had set-up a High Level Committee on the Indian Diaspora under the Chairmanship of L.M. Singhvi. The mandate of the Committee was to conduct a comprehensive study of the global Indian Diaspora and to recommend measures for a constructive relationship with them.

The committee submitted its report in January, 2002. It recommended the amendment of the Citizenship Act (1955) to provide for grant of dual citizenship to the Persons of Indian Origin (PIOs) belonging to certain specified countries.

Accordingly, the Citizenship (Amendment) Act, 2003, made provision for acquisition of Overseas Citizenship of India (OCI) by the PIOs of 16 specified countries other than Pakistan and Bangladesh. It also omitted all provisions recognising, or relating to the Commonwealth Citizenship from the Principal Act.

Later, the Citizenship (Amendment) Act, 2005, expanded the scope of grant of OCI for PIOs of all countries except Pakistan and Bangladesh as long as their home countries allow dual citizenship under their local laws. It must be noted here that the OCI is not actually a dual citizenships as the Indian Constitution forbids dual citizenship or dual nationality (Article 9).

Again, the Citizenship (Amendment) Act, 2015, has modified the provisions pertaining to the OCI in the Principal Act. It has introduced a new scheme called "Overseas Citizen of India Cardholder" by merging the PIO card scheme and the OCI card scheme.

The PIO card scheme was introduced on August 19, 2002 and thereafter the OCI card scheme was introduced w.e.f. December 2, 2005. Both the schemes were running in parallel even though the OCI card scheme had become more popular. This was causing unnecessary confusion in the minds of applicants. Keeping in view some problems being faced by applicants and to provide enhanced facilities to them, the Government of India decided to formulate one single scheme after merging the PIO and OCI schemes, containing positive attributes of both. Hence, for achieving this objective, the Citizenship (Amendment) Act, 2015, was enacted. The PIO scheme was rescinded w.e.f. January 9, 2015 and it was also notified that all existing PIO cardholders shall be deemed to be OCI cardholders w.e.f. January 9, 2015.[10]

The Citizenship (Amendment) Act, 2015, replaced the nomenclature of "Overseas Citizen of India" with that of "Overseas Citizen of India Cardholder" and made the following provisions in the Principal Act:

I. Registration of Overseas Citizen of India Cardholder

The Central Government may register as an overseas citizen of India cardholder—

1. any person of full age and capacity,—
    1. who is a citizen of another country, but was a citizen of India at the time of, or at any time after the commencement of the Constitution; or
    2. who is a citizen of another country, but was eligible to become a citizen of India at the time of the commencement of the Constitution; or
    3. who is a citizen of another country, but belonged to a territory that became part of India after the 15th August, 1947; or